Risk Returns

S&P +1.05% to record 7,137. Nasdaq +1.64% to all-time high. Semis surge on AI capex confirmation. TEL beats and raises but falls 9.10%.

THE SESSION

The risk bid returned with conviction. The S&P 500 climbed 1.05% to a record close at 7,137.90, the Nasdaq added 1.64% to a fresh all-time intraday high, and the Dow tacked on 0.69% to 49,490. Two prior sessions of defensive-led selling were erased in a single day, and the rotation that drove it was the inverse of Tuesday's tape: AI infrastructure, semiconductors, and crypto led; defense and bond proxies lagged.

Three catalysts converged. President Trump extended the Iran ceasefire indefinitely overnight, removing the binary risk that had weighed on positioning. Pre-market earnings from Boeing and GE Vernova exceeded expectations, with GE Vernova's data-center power-equipment commentary feeding directly into the AI capex narrative. And on the semiconductor side, AMD surged 6.67%, TSM rose 5.26%, and LRCX gained 2.78% into its post-close print, reaffirming the AI memory-capex thesis the morning brief had flagged as the day's key read.

Underneath the index strength, dispersion did the work. The Russell 2000 added only 0.74%, the VIX fell 2.97% to 18.92, and Brent crude pushed back above $100 after Iran reportedly seized two container ships in the Strait of Hormuz — the geopolitical risk premium did not fully exit, it simply repriced. Crypto absorbed the cleanest expression of the risk-on shift: Bitcoin rallied 3.85% to $78,540, IBIT gained 5.27%, and the miners ran with it.

IOWN Tactical: Wednesday's tape was a textbook example of what happens when a defensive-led selloff finds no follow-through — the bid returns to growth and risk assets faster than to the rotations that drove the decline. With the S&P at record levels, both TRIM and BUY lanes are quiet. The work of ownership in this regime is patience and selection, not action.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

AMD +6.67% GROWTH PORTFOLIO

Closed at $303.46. Semiconductor leadership reasserted on AI infrastructure tailwinds, with the Anthropic-Amazon $25B commitment continuing to anchor the capex narrative across the group.

HUT +5.43% GROWTH PORTFOLIO

Closed at $80.74. Bitcoin's 3.85% rally to $78,540 and the broader risk-on rotation lifted the miner sleeve in lockstep with the digital-asset ETFs.

MARA +5.43% GROWTH PORTFOLIO

Closed at $11.84. Same crypto-beta dynamic as HUT — mining equities tracked the BTC tape one-for-one with leverage, with no idiosyncratic catalyst beyond the spot move.

IBIT +5.27% DIGITAL ASSET ETF

Closed at $44.75. The cleanest expression of Wednesday's risk-on shift. The ETF moved with spot Bitcoin as crypto absorbed both the ceasefire-extension calm and the broader AI-trade enthusiasm.

TSM +5.26% GROWTH PORTFOLIO

Closed at $387.44. Taiwan Semi rallied alongside AMD on the AI capex confirmation, with the Lam Research print after the bell expected to reinforce memory-cycle conviction across foundry and equipment names.

COIN +5.25% GROWTH PORTFOLIO

Closed at $206.24. Recovered from Tuesday's 7.41% drawdown on the New York AG prediction-market suit. The ceasefire-driven risk-on tape and BTC strength outweighed the regulatory overhang in the session.

ETHA +4.50% DIGITAL ASSET ETF

Closed at $18.13. Tracked the broader digital-asset rally; ether participated in the move alongside Bitcoin without the asset-specific drivers.

STLD +3.29% DIVIDEND STRATEGY

Closed at $227.46. Continued the post-earnings rally on steel-pricing tailwinds and infrastructure-demand commentary, extending the standout strength flagged in the morning brief.

LRCX +2.78% DIVIDEND STRATEGY

Closed at $265.55 ahead of the post-close print. Headlines hit after the bell confirming Q3 profit and revenue growth on AI-driven demand and an upbeat forward revenue forecast.

HOOD +2.31% GROWTH PORTFOLIO

Closed at $88.43. Robinhood's venture fund disclosed a $75M investment in OpenAI to bring private-market exposure to retail — a structurally novel positioning that the tape rewarded despite the parallel COIN regulatory backdrop.

DECLINERS

TEL –9.10% DIVIDEND STRATEGY

Closed at $221.04 after a beat-and-raise that the tape rejected. Q2 adjusted EPS of $2.73 cleared the $2.65 guide, sales of $4.74B exceeded the prior outlook, record orders of $5.3B grew 25% year-over-year, and Q3 was guided to $5B in sales and $2.83 EPS. The print was strong; the stock's premium valuation set a higher bar than the result cleared.

SUPV –3.05% GROWTH PORTFOLIO

Closed at $9.54. No specific catalyst on the tape — the move appears to be Argentine financial-sector positioning rather than name-specific news.

LMT –2.89% DIVIDEND STRATEGY

Closed at $555.43. Defense names continued to roll over with a Barron's headline framing the sector as 'less defensive now,' capturing the risk-on rotation that pulled capital out of the group on a peace-trade day.

GPC –2.83% DIVIDEND STRATEGY

Closed at $111.74. Extended the post-Q1-miss decline from Tuesday — EPS of $1.77 vs $1.78 estimates was narrow, but the constructive pricing-recovery commentary that initially lifted the stock did not hold against the broader sell-the-news pressure.

FAST –1.95% DIVIDEND STRATEGY

Closed at $44.81. Industrial distribution lagged the broader industrial bid — with the cyclical names rallying on AI-power and infrastructure narratives, the steady-state distribution model rotated out.

ORI –1.77% DIVIDEND STRATEGY

Closed at $42.07. Insurance and other rate-sensitive bond-proxy positioning continued to unwind as duration assets reversed Tuesday's defensive bid.

GD –1.47% DIVIDEND STRATEGY

Closed at $320.74. Sold off alongside LMT in the broader defense rotation, despite Zacks coverage noting positive earnings setup ahead of its own print.

HOLDINGS NEWS

TEL Q2 print was a beat-and-raise the tape rejected. TE Connectivity reported adjusted EPS of $2.73 on sales of $4.74 billion, both above the prior guide. Record orders of $5.3 billion grew 25% year-over-year with double-digit growth in both Industrial and Transportation segments. Adjusted operating margins expanded 130 basis points to 22%. Q3 guidance for $5 billion in sales (up 10%) and $2.83 EPS (up 17%) cleared consensus. The 9.10% drawdown reflects valuation reset against high expectations rather than an operational concern — the print itself confirms the AI-connectivity and data-center thesis the position was built around.

LRCX reported after the close with revenue and profit rising on AI-driven demand. Headlines hit immediately post-close confirming the beat and an upbeat forward revenue forecast on strong chipmaking-tool demand. Coming into the print, the morning brief had flagged this as the cleanest read on AI memory capex and the directional read for the entire IOWN semiconductor complex. The result aligns with the LRCX-positive intraday positioning (+2.78%) and the broader semi rally led by AMD and TSM.

HOOD's venture fund invested $75M in OpenAI, structured to bring private-market exposure closer to retail investors. The disclosure represents a meaningful expansion of Robinhood's product surface beyond brokerage and prediction markets — the same product set facing state-AG scrutiny in the COIN/HOOD lawsuit framework. The market read it as constructive: HOOD added 2.31% on the day.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

–0.20%

vs. DVY –0.54% | SPY +0.92%

GROWTH PORTFOLIO ✓ BEAT

+1.98%

vs. IUSG +1.66%

YEAR-TO-DATE

Dividend +10.59% vs DVY +8.18% / SPY +3.25%

Growth +6.59% vs IUSG +3.44%